

SIS Ltd – Concall Tracker

Security and Intelligence Services (India) Ltd | Manned security guarding, facility management & cash logistics (India + Australia/NZ) | Screener: SIS |
Report date: 11 Jul 2026

1. Snapshot – what the business is

SIS is **India's largest security-and-services company**. It supplies **manned security guards**, runs **facility management** (cleaning, upkeep, soft services for offices, hospitals, factories, malls) and **cash logistics** (moving and processing bank cash / ATM refills, via a joint venture). It also has a big **overseas security arm in Australia and New Zealand**. In plain terms: it employs people — about **343,000 on its payroll** — and rents out their time and skills, plus some technology, to businesses that need premises secured or maintained. It is the clear market leader: roughly **twice the size of the next-biggest player (Group 4)** in India.

Number (latest)	Value	Plain-English read
Market value (market cap)	₹6,154 cr	What the whole company is worth on the stock market today.
Share price	₹436	Sits near the top of its year range (₹257–₹482), so the stock has already run up.
Group revenue (FY26, as management reports it)	≈ ₹16,000 cr	Total yearly sales across all four businesses and both countries — up strongly, its best growth year since COVID.
Normalised profit (FY26)	≈ ₹390 cr	Profit stripping out a one-off charge (see below). This is the "real" earning power.
Reported profit (FY26)	≈ ₹101 cr	The headline profit was dragged down by a one-time ₹290 cr book charge for new labour-law liabilities.
Operating margin	≈ 4.6%	For every ₹100 of sales, about ₹4.6 is operating profit — very thin, because wages eat most of the money.
Net (bottom-line) margin	≈ 2.4%	Only about ₹2.4 of every ₹100 of sales is final profit. A wafer-thin, labour-heavy model.
Return on capital (ROCE)	16.5%	Profit earned on the money put into the business — just crossed management's 15% goal.
Return on equity (ROE)	18.3%	Profit earned on shareholders' money — healthy for this kind of business.
Dividend yield	1.6%	Cash paid back to shareholders each year as a % of the share price. FY26 total payout was ~70% of profit.
Price-to-earnings (P/E)	≈ 30x reported	On the depressed reported profit it looks expensive; on the ~₹390 cr normalised profit it is closer to ~16x.

Data note: Screener's detailed profit-and-loss table (which shows FY26 sales of only ₹5,456 cr) reflects the **standalone India parent company alone**. The full group — including the Australian business, facility management and the newly-bought AP Securitas — is about **three times larger** (FY24 reported group revenue was ₹12,261 cr; FY26 is ~₹16,000 cr). This report uses the **group** numbers management quotes on the calls.

2. Concall coverage

Screener carried a full history of transcripts. We read the **last ~14 calls, covering Q3 FY23 (Feb 2023) through Q4 FY26 (May 2026)** — about three and a quarter years of quarterly earnings calls, plus one special call on the new Labour Codes. The newest call (Q4 FY26, held 4 May 2026) is present, so nothing is missed.

Period	Call date	Read?	Period	Call date	Read?
Q3 FY23	Feb 2023	Yes	Q2 FY25	Oct 2024	Yes
Q4 FY23	May 2023	Yes	Q3 FY25	Jan 2025	Yes
Q1 FY24	Aug 2023	Yes	Q4 FY25	May 2025	Yes
Q2 FY24	Oct 2023	Yes	Q2 FY26	Nov 2025	Yes
Q3 FY24	Jan 2024	Yes	Labour Codes (special)	Nov 2025	Yes
Q4 FY24	May 2024	Yes	Q3 FY26	Jan 2026	Yes
Q1 FY25	Jul 2024	Yes	Q4 FY26 (latest)	May 2026	Yes

★ Latest concall highlights — Q4 FY26 (call held 4 May 2026)

- **Best quarter and one of the best years since COVID.** Quarterly group revenue hit **₹4,489 cr, up 31% on last year** — meaning sales grew by nearly a third, the fastest in years.
- **Operating profit (EBITDA) crossed ₹200 cr for the first time, at a record ₹207 cr (+25.6%)** — the profit made from day-to-day operations before interest, tax and depreciation. It shows the bigger scale is finally lifting profit.

- **Returns crossed the 15% goal:** return on capital reached **16.5%, up from 14.3% a year ago** — the business is at last earning a decent return on the money invested in it.
- **The AP Securitas (APS) acquisition is now folded in.** SIS bought the No.1 Indian security firm; this pushed India-security revenue to a record **₹1,925 cr (+34%)** and makes SIS about **twice the size of its nearest rival**. APS runs at a thinner 4.2% margin today; management expects to lift it toward SIS's 5.5% over ~18 months.
- **Big cash returned + one-off cleared.** Total payout to shareholders was **~70% of profit (₹250 cr this year)**. The ₹290 cr one-time labour-law charge taken last quarter was partly reversed (₹38.8 cr). Tone was confident: FY26 called "a rebound year... the inflection point."

Business mix & capacity — quick facts

Where the money comes from (FY26, by revenue): India Security ~43%, International Security (Australia/NZ) ~43%, Facility Management ~14%. In plain terms, **roughly half the sales are within India and half are overseas in Australia/New Zealand**; cash logistics sits in a separate joint venture and is not counted in these sales. Management expects India (higher-margin) to grow faster, tilting the mix — and profit — back toward home.

"Capacity" for a people business = branches and workforce. SIS runs ~170 security branches and ~90 FM branches and is deliberately packing more people into each branch (raising average branch size ~1.3x). There is no factory utilisation figure; the growth lever is winning share of a market where it holds only ~5% — so a very long runway if the new Labour Codes push work toward big compliant players.

★ 3. The earning trigger — what management says will grow profit

The central story management has told for three years is **"repair and re-rate"**: take a low-margin, labour-heavy business and (1) push margins back toward pre-COVID levels, (2) pay down debt, and (3) keep growing ~15% a year while earning ~15% returns — the "15-and-15 formula." In FY26 two **fresh, concrete triggers** were added: the **AP Securitas acquisition** (instant scale, market leadership) and the **new Labour Codes**, which management calls a **"GST moment for labour"** — a law change that should push work away from small non-compliant operators toward large compliant ones like SIS, and could free up hundreds of crores of stuck working capital. FY26's record numbers show the base story is genuinely playing out; the Labour-Code windfall is real but still to be proven.

Trigger	What management said	Evidence so far	Horizon	Strength
FY26 rebound / margin repair	Return India Security & FM margins toward pre-COVID ~6%; grow 15% with 15%+ returns.	India Security margin recovered from ~3.9% low to ~5.5% (hit 6.1% once); FM up to ~5.5%; ROCE crossed 15% (16.5%); Q4 revenue +31%.	Delivered	Strong — clearly happening in the numbers.
AP Securitas acquisition	Buy the No.1 Indian security firm; become ~2x nearest rival; lift its 4% margin to SIS's 5.5%.	Deal closed, consolidated from Q3 FY26; India-security revenue +34%. Margin-lift still to come.	1–2 years	Strong — done and adding scale; synergy unproven.
Labour Codes formalisation	"GST moment for labour" — compliant players gain share; wages pass straight through; possible ₹500–600 cr working-capital release → returns "beyond 30%".	Codes notified Nov 2025; SIS well-placed. But it is early — "not a flip of a switch, takes a year or more."	3–5 years	Moderate — genuine and big, but unproven and slow.
Cash-logistics listing (value unlock)	List / demerge the cash JV to surface hidden value (~₹1,000–1,500 cr) and cut group debt.	Prospectus filed FY25, but repeatedly delayed; now "hopefully within FY27."	Slipping	Weak / unproven — promised since FY23, still not done.

4. Management consistency — promised vs delivered

Period / theme	What was promised	What actually happened	Verdict
FY23–FY24 — India Security margin	Recover from ~4% back to pre-COVID ~6%.	Climbed steadily to 6.1% by Q3 FY24, now steady ~5.5%. Largely done.	Delivered
FY24–FY26 — Facility Mgmt margin	Reach ~5–6%; timeline pushed each year ("next quarter / 2–4 quarters").	Crept up 4.2% → ~5.5% by FY26, but the "6%" and early timelines kept slipping.	Partly
FY23–FY26 — Deleveraging	Keep debt below 2x profit and cut it.	Net debt fell from ₹1,223 cr to ~₹429 cr; borrowings down to ₹577 cr in FY26. Best-kept promise.	Delivered
FY24–FY26 — Cash-business listing	Unlock value by listing the cash JV — "in FY25."	Filed, then repeatedly delayed to "hopefully FY27." 2+ years of slippage.	Missed (timeline)
FY25 — Growth quality	Grow "high-teens"; admitted FY24's 11% India growth was disappointing.	FY26 delivered a strong rebound (Q4 +31%), backing up the mea culpa with action.	Delivered
		Just beginning; too soon to judge. A multi-year bet.	Too-early

FY26 — Labour-Code upside	Formalisation + working-capital release → returns "beyond 30%".		
FY24–FY25 — Goodwill on old deals	Soft-pedalled impairment risk ("no clear view").	Then took large write-offs (₹66 cr FY24, ₹306 cr FY25) on past acquisitions.	Missed

Narrative drift? Remarkably little. The core story — repair margins, cut debt, grow ~15% at ~15% returns, consolidate the market, unlock the cash business — has stayed **steady for over three years** rather than being reinvented every year. Management (led by Group MD Rituraj Sinha) is unusually **candid**: they openly admitted FY24 growth was poor, explained the ₹290 cr one-time charge in full, and owned the goodwill write-offs. The two soft spots are (1) the **cash-listing timeline, which has slipped for over two years**, and (2) the aspirational **6% group margin, which has quietly been softened** to "this is a 5–6.5% margin industry, not a 6%+ one." The direction, though, has consistently been up.

5. Bottom line — two verdicts

Durable earning trigger? → YES

FY26 is a genuine, evidenced rebound, not a hope: record revenue (Q4 +31%), record operating profit (past ₹200 cr for the first time), and returns finally crossing the 15% target. There are concrete, live drivers — the **AP Securitas deal** (instant market leadership, ~2x the nearest rival) and the **margin recovery** that has actually shown up in the numbers — with a large, if unproven, structural tailwind from the **new Labour Codes** on top. The one caution: this is inherently a **thin-margin (~2.4% net), no-moat, labour-heavy business** — management themselves say "this is not a 10% margin industry." So the trigger is real and playing out, but the ceiling on profitability is low.

Management consistent? → YES

Over three-plus years the story has stayed **steady and largely delivered**: India-security margins repaired, debt cut hard (₹1,223 cr → ₹429 cr), a disappointing FY24 followed by a strong FY26 rebound, and returns lifted past 15%. Management is refreshingly honest about misses. The two blemishes keeping this from a flawless score are the **cash-listing promise, which has slipped from "FY25" to "hopefully FY27,"** and the quietly-lowered 6% margin ambition. These are timeline and aspiration slips, not a broken or drifting story — so the verdict is Yes, with eyes open on the cash IPO.

Sources: SIS Ltd quarterly earnings-call transcripts (Q3 FY23 – Q4 FY26) and the special Labour-Codes investor call (Nov 2025), sourced from Screener.in; SIS financial snapshot tables (Screener.in). Company website: sisindia.com. | Figures rounded and translated into plain English; segment mix approximated from the latest quarter. | **This is not investment advice. Do your own due diligence.**